

F2Q26 preview: Expect beat on iPhone, Mac, forex, & gross margins

AAPL	12m Price Target: \$330.00	Price: \$270.23	Upside: 22.1%
------	-----------------------------------	------------------------	----------------------

With DRAM prices experiencing a massive surge since Fall 2025 driven by an AI-induced supply shortage, concerns around smartphone gross margin pressures and pricing-driven demand destruction and component shortages have driven underperformance in AAPL stock (-4% YTD v. S&P +2%). That said, we believe concerns for Apple are overly pessimistic given its much stronger relative position, which we believe has been supported by recent datapoints including high-end smartphone outperformance (confirmed by TSMC in its latest earnings call, iPhone share gains in China) and reports that Apple is actively securing as much mobile DRAM on the market while keeping pricing competitive for market share gains. Ultimately, **we forecast F2Q26E EPS of \$2.00, above consensus of \$1.93, with outperformance on iPhone revenue, Mac revenue, and gross margins.**

Results should also be flattered by favorable forex, as well as strong underlying Services revenue growth. Despite another slow App Store growth quarter (<10%), we believe product-related Services drivers such as iCloud+ and AppleCare+, along with prior price increases on AppleTV+ and solid advertising performance, should support another quarter of teens Services revenue growth (GSe: +14% yoy). Looking ahead, Services should benefit from Apple’s growing advertising inventory in the App Store, as well as in Maps (summer). WWDC should provide clarity into new AI Siri features, while the iPhone line-up in Fall 2026 should be the most innovative ever with the introduction of the iPhone Fold.

Please read inside for our detailed estimates for F2Q26E, guidance expectations for F3Q26E, and an overview from our latest industry/market checks.

BUY

Michael Ng, C
+1(212)902-8618 |
Goldman Sachs & C

Zorayda Mon
+1(212)357-6403 |
Goldman Sachs & C

Katherine Mu
+1(212)902-1151 |
Goldman Sachs & C

Key Data

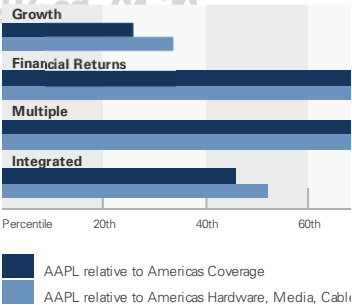
Market cap: \$4.0tr
Enterprise value: \$4.0tr
3m ADTV: \$12.2bn

Americas Hardware,

GS Forecast

	9/25	9/26E
Revenue (\$ mn) New	416,161.0	471,297.7
Revenue (\$ mn) Old	416,161.0	469,639.0
EBITDA (\$ mn)	144,748.0	167,332.0
EBIT (\$ mn)	133,050.0	154,113.1
EPS (\$) New	7.46	8.70
EPS (\$) Old	7.46	8.73
P/E (X)	30.0	31.1
Dividend yield (%)	0.5	0.4
Net debt/EBITDA (X)	(0.2)	(0.3)
	12/25	3/26E
EPS (\$)	2.84	2.00

GS Factor Profile



Ratios & Valuation

	9/25	9/26E	9/27E	9/28E
P/E (X)	30.0	31.1	28.7	26.5
EV/EBITDA (X)	22.9	23.3	21.5	19.7
EV/sales (X)	8.0	8.3	7.6	7.1
FCF yield (%)	3.0	3.5	3.7	4.1
EV/DACF (X)	24.2	25.4	23.2	21.3
CROCI (%)	86.0	91.7	91.5	89.5
ROE (%)	171.4	156.5	144.7	144.1
Net debt/EBITDA (X)	(0.2)	(0.3)	(0.3)	(0.3)
Net debt/equity (%)	(45.8)	(54.4)	(52.5)	(49.0)
Interest cover (X)	31.7	36.7	38.7	40.7
Inventory days	10.7	9.7	10.4	10.4
Receivable days	32.1	32.6	33.2	33.1
Days payable outstanding	114.7	109.8	110.7	110.3

Growth & Margins (%)

	9/25	9/26E	9/27E	9/28E
Total revenue growth	6.4	13.2	5.8	4.9
EBITDA growth	7.5	15.6	6.0	5.9
EPS growth	10.6	16.5	8.2	8.3
DPS growth	4.1	3.9	3.8	3.6
Gross margin	46.9	48.6	48.9	49.5
EBIT margin	32.0	32.7	32.6	32.7

Price Performance



Source: FactSet. Price as of 17 Apr 2026 close.

Income Statement (\$ mn)

	9/25	9/26E	9/27E	9/28E
--	------	-------	-------	-------

Balance Sheet (\$ mn)

	9/25	9/26E	9/27E	9/28E
Cash & cash equivalents	35,934.0	45,832.4	56,043.1	62,315.9
Accounts receivable	39,777.0	44,290.6	46,525.7	48,496.1
Inventory	5,718.0	7,156.0	7,423.8	7,628.9
Other current assets	66,528.0	73,281.9	74,560.7	75,557.5
Total current assets	147,957.0	170,561.0	184,553.3	193,998.3
Net PP&E	49,834.0	54,713.3	62,018.2	68,659.2
Net intangibles	6,512.0	6,512.0	6,512.0	6,512.0
Total investments	77,723.0	73,388.0	67,388.0	61,388.0
Other long-term assets	77,215.0	86,634.0	86,634.0	86,634.0
Total assets	359,241.0	391,808.3	407,105.5	417,191.6
Accounts payable	69,860.0	75,950.7	78,793.1	80,969.4
Short-term debt	20,329.0	13,824.0	13,824.0	13,824.0
Current lease liabilities	—	—	—	—
Other current liabilities	75,442.0	83,642.7	88,599.8	93,164.9
Total current liabilities	165,631.0	173,417.4	181,216.9	187,958.3
Long-term debt	78,328.0	76,685.0	76,685.0	76,685.0
Non-current lease liabilities	—	—	—	—
Other long-term liabilities	41,549.0	52,055.0	52,055.0	52,055.0
Total long-term liabilities	119,877.0	128,740.0	128,740.0	128,740.0
Total liabilities	285,508.0	302,157.4	309,956.9	316,698.3
Preferred shares	—	—	—	—
Total common equity	73,733.0	89,650.8	97,148.7	100,493.3
Minority interest	—	—	—	—
Total liabilities & equity	359,241.0	391,808.3	407,105.5	417,191.6
BVPS (\$)	4.93	6.12	6.79	7.22

Cash Flow (\$ mn)

	9/25	9/26E	9/27E	9/28E
Net income	112,010.0	127,836.0	135,168.0	142,436.2
D&A add-back	11,698.0	13,219.0	15,009.0	16,831.1
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	(25,000.0)	1,056.9	(782.2)	(1,230.8)
Others	12,774.0	13,121.9	14,332.3	15,049.0
Cash flow from operations	111,482.0	155,233.7	163,727.1	173,085.4
Capital expenditures	(12,715.0)	(14,832.3)	(19,513.9)	(20,672.2)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	—	—	—	—
Cash flow from investing	15,195.0	(11,345.3)	(11,513.9)	(12,672.2)
Dividends paid	(15,421.0)	(15,650.0)	(15,796.5)	(15,934.5)
Share issuance/(repurchase)	(96,671.0)	(110,228.0)	(126,206.0)	(138,206.0)
Inc/(dec) in debt	—	—	—	—
Others	—	—	—	—
Cash flow from financing	(120,686.0)	(133,990.0)	(142,002.5)	(154,140.5)
Total cash flow	5,991.0	9,898.4	10,210.7	6,272.8
Free cash flow	98,767.0	140,401.4	144,213.2	152,413.3
Free cash flow per share (basic) (\$)	6.61	9.59	10.08	10.95

Table of Contents

F2Q26 earnings preview	4
Product: iPhone & Mac strength to drive beat	5
Services: Expect in-line revenue growth, slight App Store acceleration	13
Forex, capital allocation, other	21
Stable earnings growth supports valuation premium	22
Thesis summary, rating, price target, key risks	24
Income statement	26
Disclosure Appendix	27

订阅研报添加微信 LCD123321Cad 04-20

订阅研报添加微信 LCD123321Cad 04-20

F2Q26 earnings preview

We forecast AAPL F2Q26 EPS of \$2.00 (unchanged), above FactSet consensus \$1.93, with revenue of \$110.3 bn (v. consensus \$108.9 bn). Revenue of \$110.3 bn represents +16% yoy growth, on the high end of AAPL's guidance for overall revenue to grow between 13-16% year-over-year. First, we forecast iPhone revenue of \$56.6 bn (+21% yoy), above consensus \$55.6 bn (+19% yoy), reflecting (a) +3% yoy unit growth, in-line with IDC estimates; and (b) ASP growth of +17% yoy on premium mix shift and forex tailwinds. Second, we forecast Services revenue to grow +14% yoy, in-line with both consensus and company guidance for Services revenue growth to be in-line with F1Q26 Services revenue growth (+14% yoy), driven by momentum across TAC, iCloud+, AppleCare+, and other subscriptions, partially offset by slower App Store revenue growth. Third, we forecast gross margins of 49.0% (v. consensus 48.3%), on the high-end of AAPL's guidance for 48-49% gross margins.

Exhibit 1: We expect AAPL to deliver a revenue & EPS beat driven by iPhone & Mac

AAPL F2Q26 GS estimate v. consensus v. guidance (\$, millions except per share data)

(\$, mn)	Gse						Consensus				Comments/guidance
	New	yoy Δ (%)	Old	Δ (\$, mn)	Δ (%)	yoy Δ (%)	FactSet	Δ (\$, mn)	Δ (%)	yoy Δ (%)	
Sales	\$110,337	16%	\$110,032	\$305	0%	15%	\$108,922	\$1,415	1%	14%	13-16% yoy
Gross profit	\$54,070	21%	\$54,106	(\$37)	0%	21%	\$52,561	\$1,509	3%	17%	
Operating expenses	\$18,529	21%	\$18,529	\$0	0%	21%	\$18,011	\$518	3%	18%	\$18.4-\$18.7 bn
Operating income	\$35,541	20%	\$35,577	(\$37)	0%	20%	\$34,551	\$990	3%	17%	
Other income (expense), net	\$100	-136%	\$98	\$2	2%	-135%	(\$276)	\$376	-136%	-1%	~\$100 mn
Earnings before tax	\$35,641	22%	\$35,675	(\$34)	0%	22%	\$34,275	\$1,366	4%	17%	
Tax (Non-GAAP)	\$6,237		\$6,243	(\$6)	0%		\$5,973	\$264	4%		
Tax rate	17.5%		17.5%	0.0%	0%		17.4%				17.5%
Net income - Non-GAAP	\$29,404	19%	\$29,432	(\$28)	0%	19%	\$28,333	\$1,071	4%	14%	
Diluted EPS (Non-GAAP)	\$2.00	21%	\$2.00	(\$0.00)	0%	21%	\$1.93	\$0.06	3%	18%	
Segment information											
iPhone	\$56,585	21%	\$56,414	\$171	0%	20%	\$55,614	\$970	2%	19%	
iPad	\$6,805	6%	\$7,030	(\$225)	-3%	10%	\$6,751	\$54	1%	5%	
Mac	\$8,938	12%	\$8,597	\$341	4%	8%	\$8,234	\$704	9%	4%	
Wearables, Home and Accessories	\$7,638	2%	\$7,638	\$0	0%	2%	\$8,074	(\$435)	-5%	7%	
Products	\$79,965	16%	\$79,679	\$286	0%	16%	\$78,178	\$1,789	2%	14%	
Services	\$30,372	14%	\$30,353	\$18	0%	14%	\$30,393	(\$21)	0%	14%	In-line with F1Q26 Services growth (+14% yoy)
Total revenue	\$110,337	16%	\$110,032	\$305	0%	15%	\$108,922	\$1,415	1%	14%	13-16% yoy
Products Gross Profit	\$30,867	25%	\$30,917	(\$51)	0%	25%	\$28,467	\$2,400	8%	15%	
Services Gross Profit	\$23,203	15%	\$23,189	\$14	0%	15%	\$23,187	\$16	0%	15%	
Gross profit	\$54,070	21%	\$54,106	(\$37)	0%	21%	\$52,561	\$1,509	3%	17%	
Products gross margin (%)	38.6%	2.7%	38.8%	-0.2%	2.9%		36.4%	2.2%	0.5%		
Services gross margin (%)	76.4%	0.6%	76.4%	0.0%	0.6%		76.3%	0.1%	0.5%		
Gross profit margin (%)	49.0%	2.0%	49.2%	-0.2%	2.1%		48.3%	0.7%	1.2%		48-49%
Operating income margin (%)	32.2%	1.2%	32.3%	-0.1%	1.3%		31.7%	0.5%	0.7%		
Revenue by geography											
Americas	\$44,750	11%	\$44,750	\$0	0%	11%					
Europe	\$27,633	13%	\$27,633	\$0	0%	13%					
Greater China	\$21,603	35%	\$21,603	\$0	0%	35%					
Japan	\$7,663	5%	\$7,663	\$0	0%	5%					
Rest of Asia-Pacific	\$8,689	19%	\$8,384	\$305	4%	19%					
Total revenue	\$110,337	16%	\$110,032	\$305	0%	15%	\$108,922	\$1,415	1%	14%	

We estimate F2Q26 Product revenue of \$80.0 bn (+16% yoy), above FactSet consensus \$78.2 bn (+14% yoy) driven by strength in iPhone (GSe +21% yoy v. consensus +19% yoy) and Mac (GSe +12% yoy v. consensus +4% yoy). We forecast product gross margins of 38.6% v. consensus 36.4% as premium mix shift (toward iPhone and within iPhone models), forex, and component in-sourcing offset commodity cost inflation.

订阅研报添加微信 LCD123321Cad 04-20

#1: iPhone: Revenue +21% yoy on iPhone 17 family strength & forex, with premiumization driving ASP uplift

We estimate F2Q26 iPhone revenue of \$56.6 bn (+21% yoy), slightly above FactSet consensus (+19% yoy), driven by +3% yoy growth in units and +17% yoy growth in ASP. Our in-quarter iPhone unit shipment estimate is in-line with IDC (61.1 mn, +3% yoy), and should be driven by continued strength in iPhone 17 generation demand, particularly as customers refresh aging devices with legacy technology (e.g., older processors that don't support Apple Intelligence features, lower storage capacity, declining battery health). We expect continued competitive intensity amongst US carriers offering promotional iPhone subsidies (as discussed in our reviews of the iPhone 17 launch in September 2025 and our recent 1Q26 US carrier telco preview regarding the iPhone 17e) should help support continued refresh demand. Additionally, AAPL's comments during F1Q26 earnings around exiting F1Q26 with lean channel inventory levels should support sell-in shipment strength.

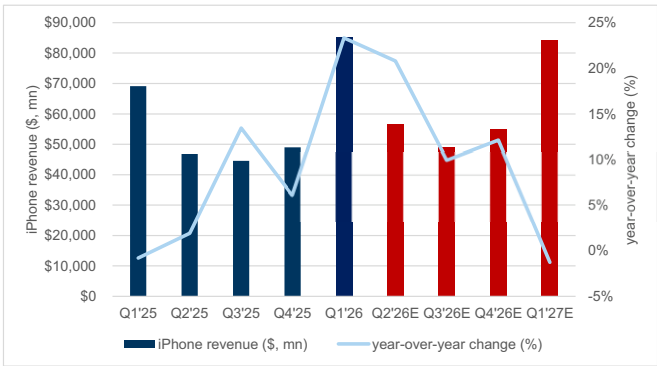
订阅研报添加微信 LCD123321Cad 04-20

Separately, AAPL's unit demand should be supported by market share gains as smaller Chinese competitors struggle to acquire needed component supplies and raise prices to address rising memory component costs. In stark contrast, over the past year, Apple has discounted its base iPhone 17 and the iPhone 17e by \$100 (v. prior equivalent generations and storage options). During C1Q26, market share gains have been most prevalent in China, where iPhone unit shipments grew 33% yoy (per IDC) as the broader Chinese smartphone market declined -3% yoy. We expect AAPL to demonstrate continued global market share gains over future quarters through its ability to effectively acquire supply of memory and other components, as well as its ability to avoid price increases, particularly given recent price increase announcements at Samsung, Xiaomi, Vivo, and Oppo.

Our estimate for +17% yoy ASP growth should be supported by continued premiumization of the iPhone installed base, particularly given (a) a \$100 starting price increases on the iPhone 17 Pro (v. 16 Pro) and iPhone Air (v. 16 Plus) driven by the elimination of the 128 GB starting storage model; and (b) introduction of the new premium 2 TB storage option for the iPhone 17 Pro Max. On a forward basis, we expect iPhone revenue to grow +17% yoy in F2026E as AAPL continues to benefit from continued device refresh and market share gains as competitors raise prices and are limited by memory supply constraints.

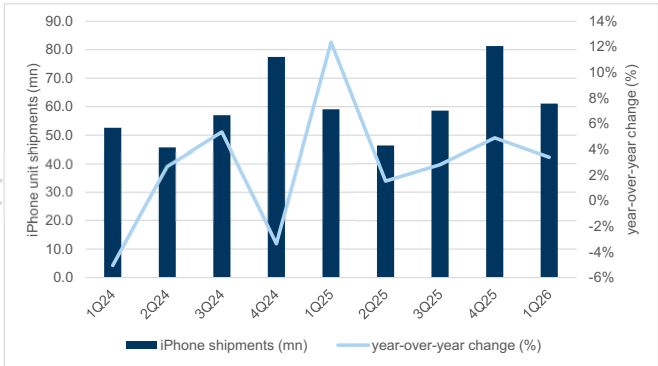
订阅研报添加微信 LCD123321Cad 04-20

Exhibit 2: We estimate iPhone revenue should grow +21% yoy to \$56.6 bn in F2Q26E
iPhone revenue (\$, mn) & year-over-year change (%)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: IDC estimates C1Q26 iPhone unit shipments grew 3% yoy to 61.1 mn, representing 21% of overall market shipments
iPhone unit shipments (mn) & year-over-year change (%)



Source: IDC

订阅研报添加微信 LCD123321Cad 04-20

订阅研报添加微信 LCD123321Cad 04-20

Exhibit 4: IDC’s iPhone unit growth estimate is more conservative relative to Omdia and Counterpoint Research
Industry unit shipment growth estimates across third party data vendors, smartphone market vs. iPhone

YoY growth (%)	IDC	Omdia	Counterpoint	Average
Smartphone market	-4%	+1%	-6%	-3%
iPhone	+3%	+9%	+5%	6%

订阅研报添加微信 LCD123321Cad 04-20

订阅研报添加微信 LCD123321Cad 04-20

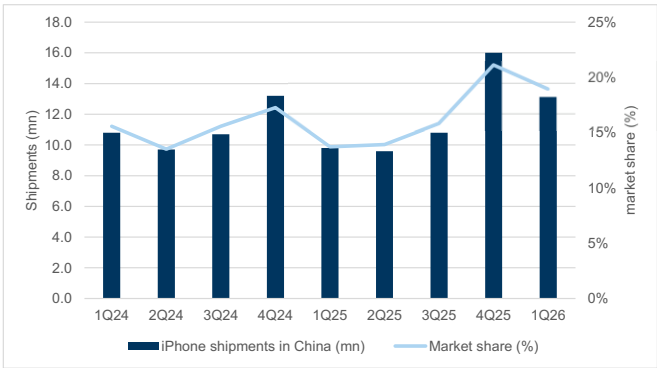
订阅研报添加微信 LCD123321Cad 04-20

Omdia and Counterpoint iPhone year-over-year growth estimates are implied based on 1Q26 & 1Q25 market share data

Source: IDC, Omdia

Exhibit 5: iPhone unit shipments in China of 13.1 mn grew 33% yoy, representing 19% market share

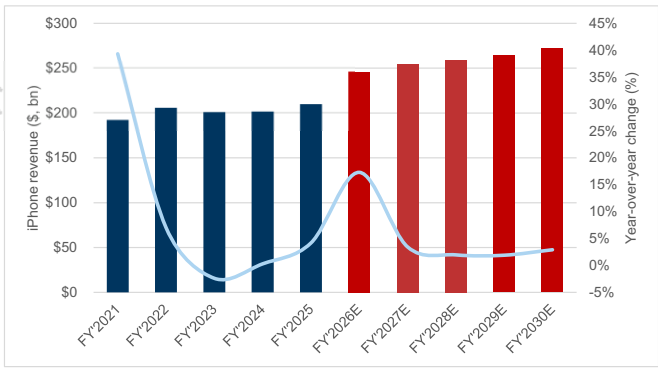
iPhone shipments in China (mn) & market share (%)



Source: IDC

Exhibit 6: We estimate iPhone revenue will grow 17% in F2026 with continued growth into F2027

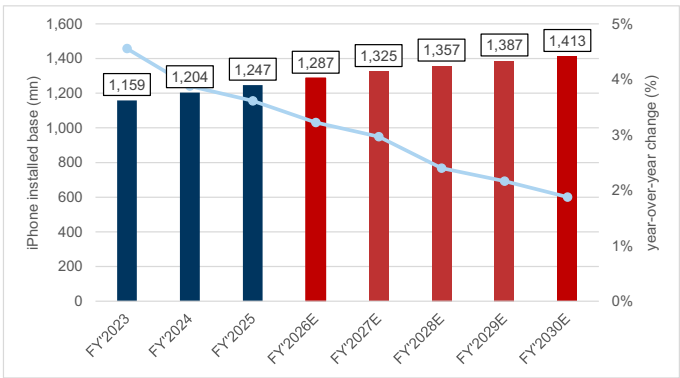
iPhone revenue (\$, bn) and year-over-year change (%)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: We believe that the active iPhone installed base will approach ~1.3 bn in F2026 as first smartphone and switchers continue to more than offset churn

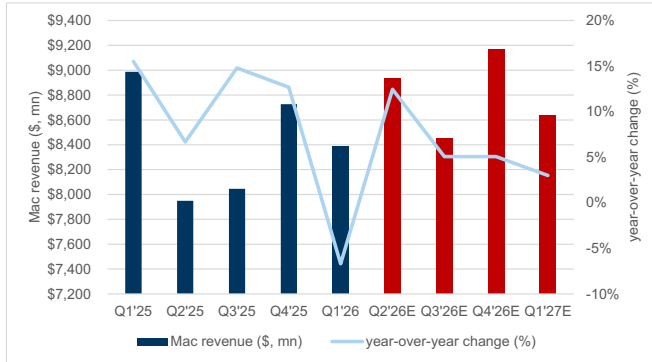
iPhone active installed base (mn)



become very popular and may see demand outstrip A18 Pro chip supply, we expect price increases to Mac's premium portfolio, as well as the expected launch of a premium MacBook in fall 2026 with an OLED display and touch screen, to help support continued ASP growth through the year.

Exhibit 8: We estimate Mac revenue grew +12% yoy to \$8.9 bn in F2Q26

Mac revenue (\$, mn) & year-over-year change (%)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 10: IDC estimates C1Q26 Mac shipments of 6.2 mn, up 9% year-over-year

Mac shipments (mn) & year-over-year change (%)

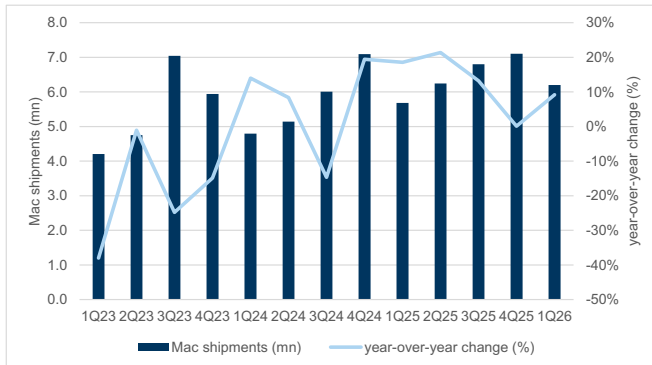
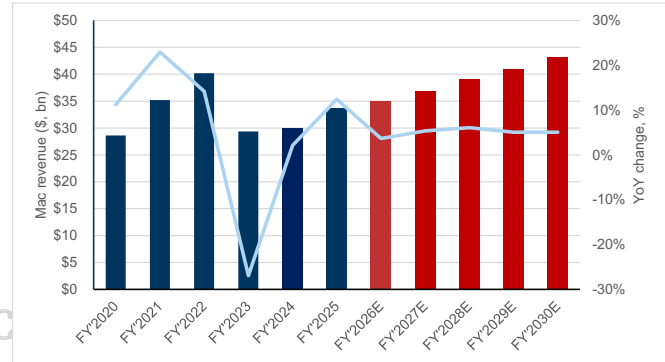


Exhibit 9: We estimate Mac revenue will grow +4% yoy in F2026E

Mac revenue (\$, mn) & year-over-year change (%)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 11: IDC estimates AAPL's share of the PC market remained flat sequentially at 9% of total shipments

PC market share by vendor (%)

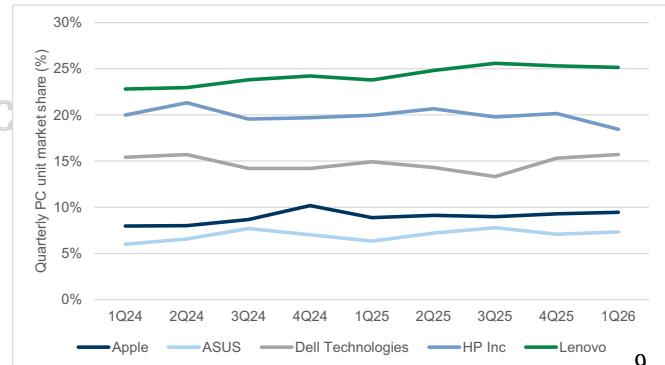
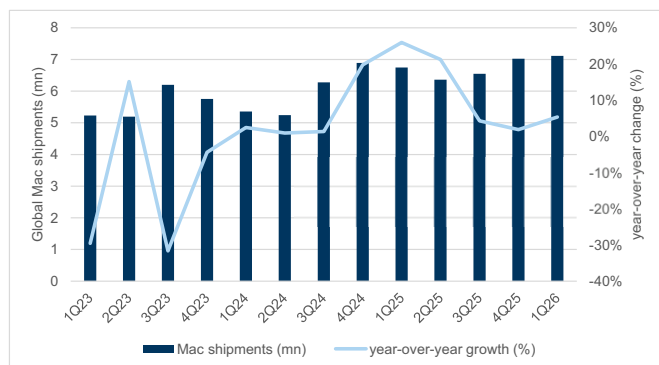


Exhibit 12: Omdia (formerly Canalys) estimates AAPL shipped 7.1 mn Macs in C1Q26, marking 5% growth year-over year.

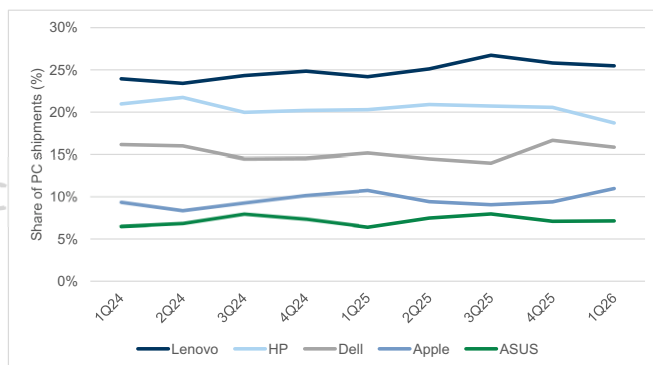
C1Q26 Mac shipments (mn) & year-over-year growth (%)



Source: Omdia, Data compiled by Goldman Sachs Global Investment Research

Exhibit 13: Omdia (formerly Canalys) estimates Mac's share of PC shipments grew to ~11% of total C1Q26 industry PC shipments (+2 pp sequentially)

Share of PC industry shipments by vendor (%)



Source: Omdia, Data compiled by Goldman Sachs Global Investment Research

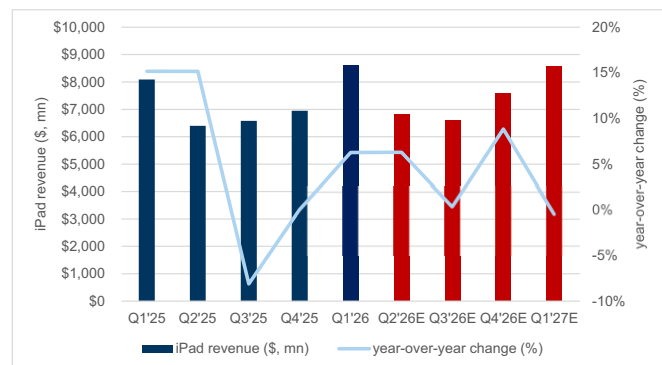
#3: iPad: Market outperformance despite tough year-over-year launch comps

We estimate F2Q26 iPad revenue of \$6.8 bn (+6% yoy v. FactSet +5% yoy), driven by +4% yoy unit growth and +2% yoy ASP growth. Unit growth should continue to be supported by ongoing device refresh as legacy devices face diminishing battery health, storage limitations, and regular wear & tear. During the quarter, AAPL launched the M4 iPad Air (March 2026), which should present tough comps with F2Q25, where AAPL launched both the M3 iPad Air and the 11th-gen base iPad. As such, we anticipate that AAPL will face year-over-year unit growth headwinds in both F2Q26 and F3Q26 until the company launches the next-gen base iPad (now expected in Fall 2026). That said, given ongoing price increases across other tablet vendors ([Samsung](#), [Lenovo](#), [Xiaomi](#)), we anticipate that AAPL should continue outpacing the tablet market via market share gains given flat starting prices on its latest iPad model launches (M4 iPad Air in [March 2026](#), M5 iPad Pro in [October 2025](#)). The in-quarter launch of the latest iPad Air and the absence of a new iPad base model should mix shift iPad towards premium products, which should support +2% yoy ASP growth despite flat yoy starting prices on the new models. On a forward basis, we anticipate F2026 iPad revenue to be up +6% yoy, as (a) iPad gains share in the tablet market amidst competitor price increases driven by memory cost pressures; (b) AAPL refreshes the iPad base in Fall 2026; and (c) continued user premiumization.

Due to lagged historical data releases from IDC and Omdia (formerly Canalys), we show data reported as of C4Q25.

Exhibit 14: We estimate F2Q26 iPad revenue of \$6.8 bn (+6% yoy)

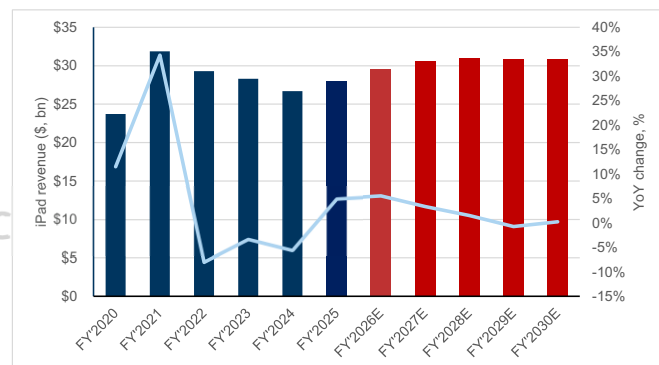
iPad revenue (\$, mn) & year-over-year change (%)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 15: We estimate F2026 iPad revenue to grow +6% yoy

iPad revenue (\$, mn) & year-over-year change (%)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 16: Omdia (formerly Canalsys) estimates C4Q25 iPad shipments of 19.6 mn grew 16% yoy (C1Q26 not yet reported), accelerating from flat growth yoy in C3Q25

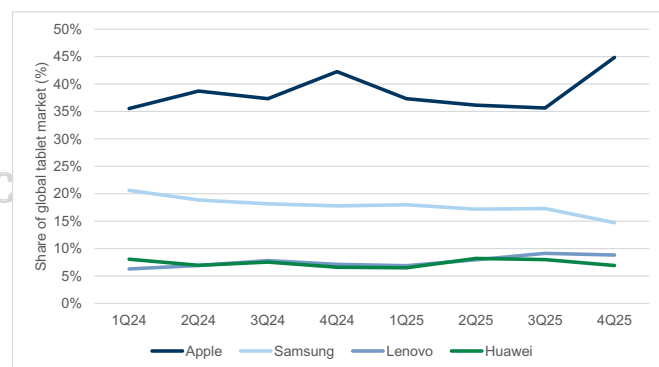
Global iPad shipments (mn) & year-over-year change (%)



Source: Omdia

Exhibit 17: Omdia (formerly Canalsys) estimates iPad (45% of C4Q25 tablet market shipments) gained 3 pp. of market share annually v. C4Q24

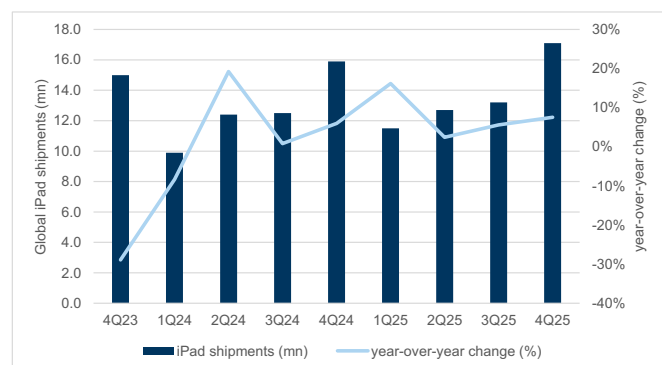
Share of tablet market shipments (%)



Source: Canalsys

Exhibit 18: Per IDC, C4Q25 iPad shipments of 17.1 mn grew 8% yoy (C1Q26 not yet reported)

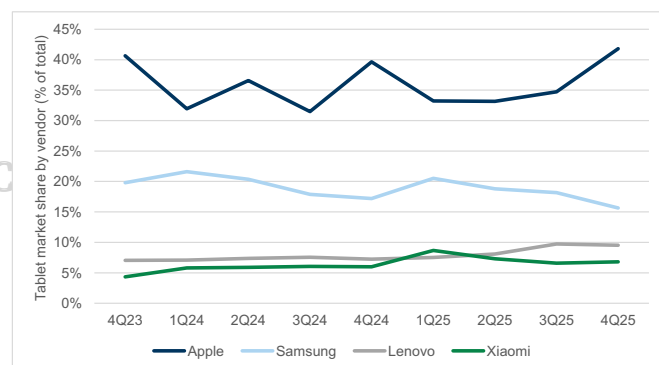
Global iPad shipments (mn)



Source: IDC

Exhibit 19: iPad's C4Q25 tablet shipment market share of 42% gained 2 pp annually relative to C4Q24

Share of tablet market shipments (%)



Source: IDC

#4: Product Pipeline

We update our product pipeline tracker for the latest reported upcoming AAPL products. **AAPL's most important product launches for the remainder of 2026 are expected in the fall, and include the premium-end iPhone 18 generation products (foldable iPhone, iPhone 18 Pro, and iPhone 18 Pro Max), as well a premium MacBook with a touch screen, and the launch of new AI-driven smart home device.**

Exhibit 20: AAPL continues to have a breadth of upcoming product releases throughout 2026 and beyond

Illustrative AAPL Product Pipeline

Product Category	Upcoming Model	Expected Release	Specs	Sources
iPhone	iPhone 18 (Foldable, Pro, Pro Max)	Sept. 2026	Foldable book-style form factor without visible crease and Touch-ID at over \$2,000; 2-nm A20 series chip; variable aperture camera on Pro model; under-screen Face ID for Pro/Pro Max; removing dynamic island. Pro models to include C2 chip (instead of Qualcomm modem)	1, 2, 3, 4, 5, 6, 7, 8, 9
	iPhone 18 (base, 18e, Air 2)	early 2027	2-nm A20 series chip	5, 10
	iPhone 19 (Pro, Pro Max)	Sept. 2027	All-screen glass display on iPhone Pro	5, 7, 11
Mac	Mac Studio	mid-2026	M5 Max and M5 Ultra chip	12, 13
	Mac mini	mid-2026	M5 and M5 Pro chips	12, 13
	iMac	2026	M5 chips	13
	MacBook Ultra	Fall 2026	First OLED Mac, touch screen, thinner design, more expensive than MacBook Pros with M5 Max chips (\$3599 starting)	14
	MacBook Neo (2nd-gen)	2027	Could include touch panel	15, 16
iPad	iPad (12th-gen)	2026	A18 chip; lower cost iPad to start at \$349	17, 18
	iPad Mini (8th-gen)	2026/2027	A19 Pro chip	19
	iPad Air	Spring 2027	OLED display	39
	iPad Pro	2027	M6	8
	iPad (foldable)	2029	\$3,000 price range; 18-inch display	20
Wearables & Accessories	Magic Mouse	2026	Relocated charging port & updated design	21
	AirPod Pro with cameras (Ultra)	2026/2027	Infrared cameras to feed Visual Intelligence into Siri; priced above AirPods Pro	22, 23, 24
	Smart Glasses	2027	Pairs with iPhone; no display. Includes speakers, cameras, and voice-control capabilities. Embedded battery	25, 26
	AI Pin	2027	Wearable pin (thin, flat circular disk) with two cameras to capture photos of surroundings. Includes speaker and microphone. Similar size as AirTag.	27
	Smart Glasses with Display	2028 or later	Features display	25
Misc	Home Pod mini 2	Fall 2026	New S-series chip; improved sound quality; additional colors; contains Apple's designed Bluetooth and Wi-Fi chip (instead of Broadcom's), supporting Wi-Fi 6	28, 29, 30
	Smart Home Device	Fall 2026	7-inch display tied to AI Siri; controls smart home devices; music playback; note taking; web-browsing; video-conferencing; \$350; snap to wall feature	31, 32, 33, 34, 35
	Apple TV (updated)	2026	A17 Pro chip; camera for FaceTime; contains Apple's designed bluetooth and wifi chip (instead of Broadcom's), supporting Wi-Fi 6	28, 29, 36, 37
	Home security cameras	2026	Home security camera with battery lasting between several months to a year. Has facial recognition and infrared sensors.	34, 38
	Tabletop robot	2027	iPad mounted on a movable limb that can swivel and reposition itself to follow users in a room. Can inject into conversation using AI Siri. 9 inch display	34, 38

We estimate Apple F2Q26E Services revenue of ~\$30.4 bn (+14% yoy), in line with Apple's prior guidance for Services revenue to grow in line with overall F2025 Services revenue growth (+14% yoy). The two largest contributors to Services revenue should be App Store (~24% of Services revenue, F2Q26E revenue +7% yoy GSe) and TAC (~22% of total Services revenue, +12% yoy), which along with strong DD% yoy growth across Apple's other Services categories, should support Apple in achieving its guide.

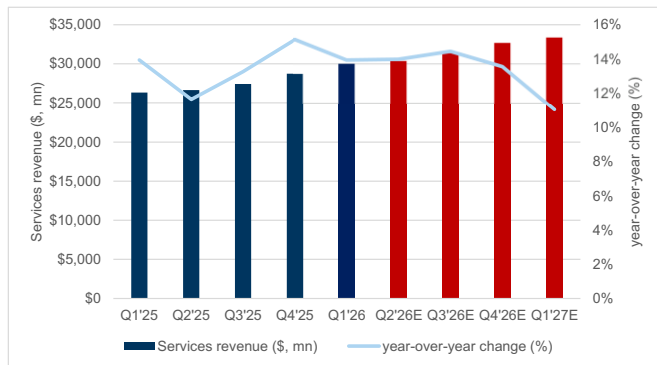
As we will discuss later in our App Store analysis, we continue to believe App Store should be a meaningful driver of Services revenue over the long run despite concerns around third party payments. That said, we expect near-term App Store revenue slowness (<9% yoy growth) and investor concerns to persist through F1Q27E driven by (a) competition from off-app payment options; (b) headwinds from changes in commission fee structures in China and Japan; (c) threat of App Store disintermediation from vibe coding apps (though we believe Apple is appropriately addressing this risk via App Store policy enforcement); and (d) macro-economic volatility. However, we expect continued faster growth across Apple's broader Services categories to support >10% yoy Services revenue growth through the rest of F2026E.

There are several trends underpinning our expectations for Apple to be able to maintain >10% yoy quarterly Services revenue growth. **First, resilient Google search traffic & user trends supports long-term growth in Google's TAC payments** to Apple and demonstrates the stickiness of browser search relative to AI app usage. **Second, continued scaling of iCloud+ should support greater levels of high-margin recurring Services revenue** as members of the Apple installed base aggregate greater levels of data that require storage (e.g., more photos & saved content, growing App sizes as developers integrate more data and features across apps, greater iOS storage requirements with growing levels of Apple Intelligence features). **Third, long-term growth in AppleCare+ adoption** should support sustainability in Services revenue growth as Apple users refresh aging devices or add additional devices to their Apple ecosystem. **Fourth, Apple TV streaming subscription price increases** from August 2025 should similarly support growth through the rest of F2026, particularly as churn rates normalize and AAPL scales its service through continued content development.

Separately, we see expansion of Advertising offerings and AI Siri launch as key growth accelerators for Services on a forward basis. First, Apple Services should benefit from the introduction of ads across greater iOS environments, particularly as Apple began introducing additional ads within App Store search in the UK and Japan in March 2026, and plans to introduce local business ads within Apple Maps starting in summer 2026. Second, AI Siri is expected to be announced at WWDC in June 2026 and be launched in September 2026, which could support greater Services revenues in the future by reinforcing iOS ecosystem stickiness, particularly with hardware competition from AI players, or potential AI feature monetization.

Exhibit 21: We estimate Apple F2Q26E Services revenue of \$30.4 bn (+14% yoy)

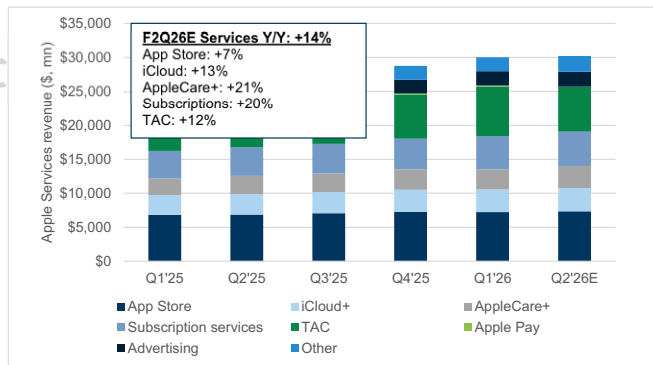
Apple Services revenue (\$, mn) & year-over-year change (%)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 22: F2Q26E Services growth should be driven by growth in iCloud, AppleCare+, and subscriptions, with slower App Store revenue growth

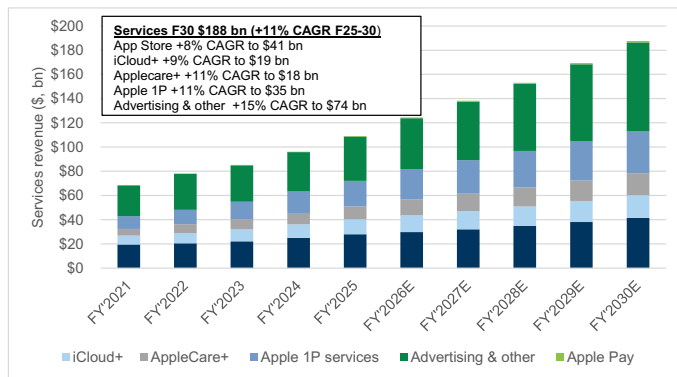
Apple F2Q26E Services revenue (\$, mn)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 23: Over the long term, we expect Apple to maintain an ~11% 2025-30 Services revenue CAGR

Apple Services revenue by category (\$, mn)



CD123321Cad 04-20

Sensor Tower) to represent a ~2 pp headwind to App Store revenue growth in the quarter. Accordingly, we adjust our forecasts for App Store revenue growth for the next four quarters, and recognize the risk for continued commission rate compression across Apple’s other App Store regions.

Separately, we view two other major risks for Apple App Store revenue in the near future: (1) application vibe coding adoption driving iOS security issues and deterioration of App Store commission revenues; and (2) Expansion of off-app payment options. First, we believe that Apple is sufficiently addressing the threat of vibe coding apps driving iOS security issues and App Store commission revenue deterioration by blocking vibe coding apps from releasing updates (per industry reports regarding Replit and Vibecode). We view this action as positive for continued product installed base growth as Apple reinforces the iOS security ecosystem, as well as positive for App Store revenue commission fees. Second, though we continue to recognize the long-term risk of expanding adoption of off-app payment options to Apple App Store revenue, we reaffirm our belief that App Store revenue should continue to support overall Services growth in the long-run through the seamless experience of making purchases in-app. Key catalysts we see to App Store revenue growth acceleration include: (1) continued growth in third party AI app monetization, where AAPL reportedly generated \$900 mn in 2025, and (2) greater monetization of alternative marketplace transactions for iOS apps.

Exhibit 24: We estimate F2Q26E Apple App Store revenue grew +7% yoy to \$7.34 bn.

App Store revenue (\$, mn) & year-over-year change (%), GSe

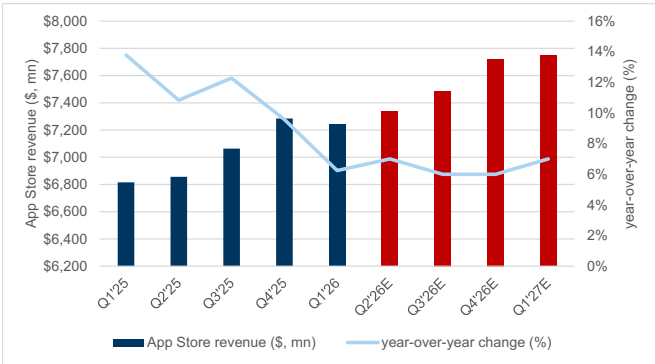


Exhibit 25: Overall Apple App Store spending of ~\$20.5 bn grew ~7% yoy in C1Q26, slightly accelerating sequentially

Quarterly Apple App Store spending (\$, mn) & year-over-year change (%)

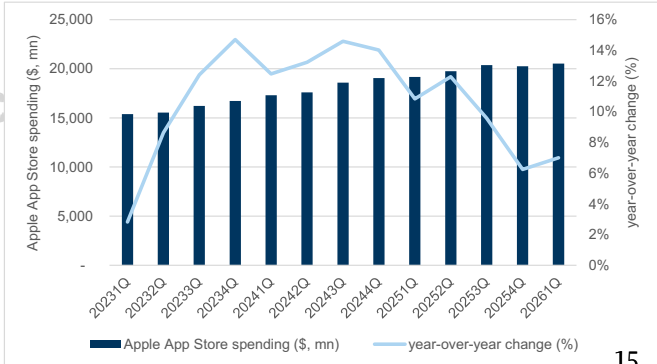
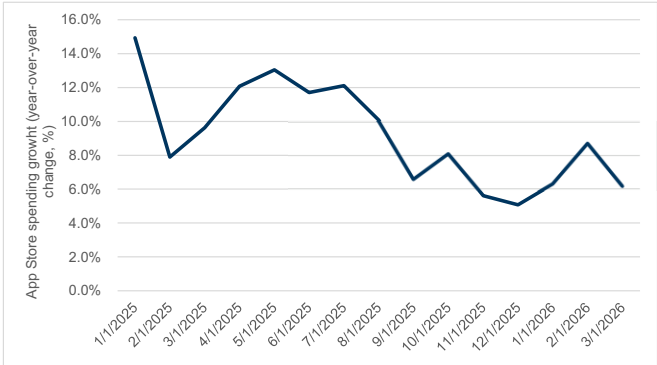
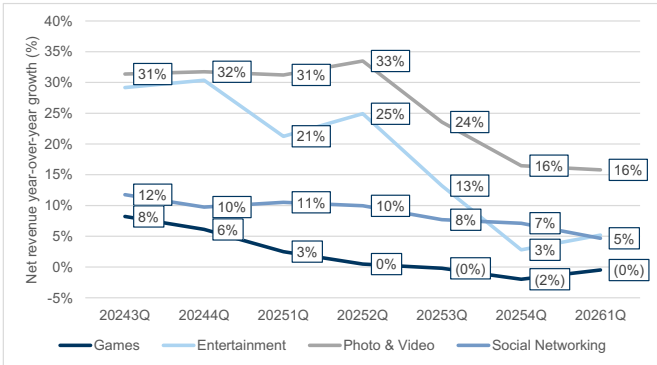


Exhibit 26: App Store spending growth has decelerated relative to pre-Fall 2025 levels. Slight acceleration in C1Q26 was driven by improving growth trends in January and February, while March decelerated
App Store monthly spending growth (year-over-year change, %)



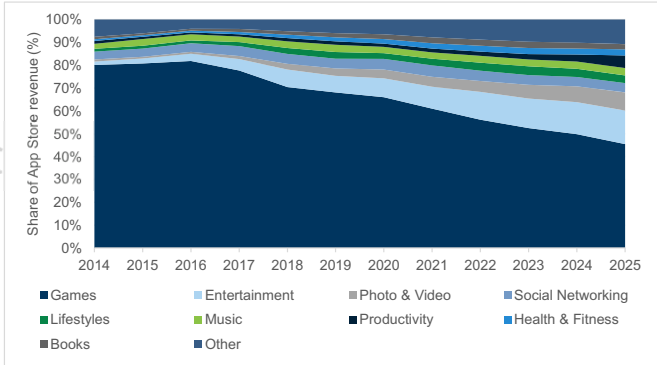
Source: Sensor Tower

Exhibit 28: Spending in App Store’s #2-#4 app categories have outpaced that of Games in recent quarters
Quarterly App Store revenue year-over-year growth (%) by category



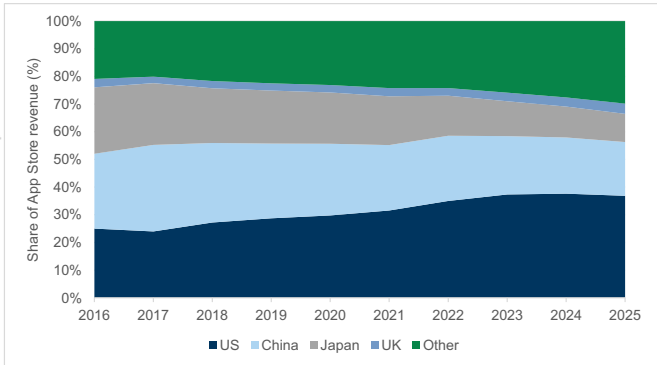
Source: Sensor Tower

Exhibit 27: While Games dominates nearly half of App Store revenue, its share of overall spend has declined over time
Share of App Store revenue (%) by app category



Source: Sensor Tower

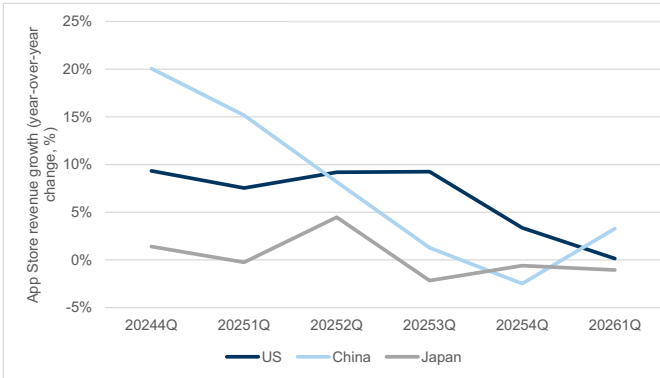
Exhibit 29: Apple’s App Store revenue is dominated by the US, followed by China and Japan
Share of Apple App Store revenue (%) by geography



Source: Sensor Tower

Exhibit 30: Though growth rates across Apple’s largest App Store markets has declined over time, growth rates improved in China sequentially, decelerated in the US, and remained roughly flat in Japan

App Store revenue growth by top geographies (year-over-year change, %)



Source: Sensor Tower

Exhibit 31: We estimate that recent changes in Apple App Store commission rates across China & Japan should present a -4.6pp full quarter headwind to App Store revenue on a year-over-year basis

Recent changes to App Store commission fee structure across China & Japan

Country	Change date	Old commission rate	New commission rate	Prior avg	After avg	C3Q25 revenue share (%)	App Store headwind (%)
China	3/12/2026	- IAP: 30% - IAP for Small Business Program/Mini Apps Partner Program/Auto-renewals of IAP subscriptions after first year: 15%	- IAP: 25% - IAP for Small Business Program/Mini Apps Partner Program/Auto-renewals of IAP subscriptions after first year: 12%	24%	20%	19.1%	(3.3%)
Japan	12/18/2025	- IAP: 30% - IAP for Small Business Program/Mini Apps Partner Program/Auto-renewals of IAP subscriptions after first year: 15%	- IAP: 26% (21% + 5% processing fee) - IAP for Small Business Program/Mini Apps Partner Program/Auto-renewals of IAP subscriptions after first year: 15% (10% + 5% processing fee) - Transactions for iOS apps made through alternative marketplaces: 5% (Core Technology Commission)	24%	21%	10.0%	(1.2%)
						Total full-quarter headwind (%)	(4.6%)

**China & Japan prior average assumes 40%/60% split on discounted/non-discounted commission revenues

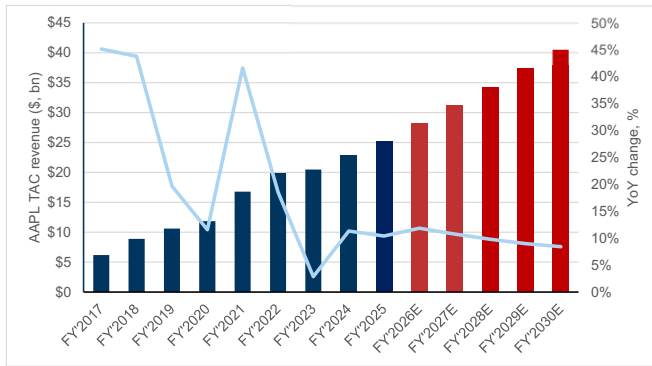
**China after average assumes equal split to prior. Japan after assumes 35%/60%/5% split across discounted/non-discounted/alternative marketplace rates

Estimates represent the estimated full-quarter impact of these changes relative to under prior commission rates. We compare to C3Q25 revenue shares to compare impact to pre-commission rate changes

apps and chatbots.

Exhibit 32: We forecast an AAPL TAC revenue CAGR of 10% (F25-30E)...

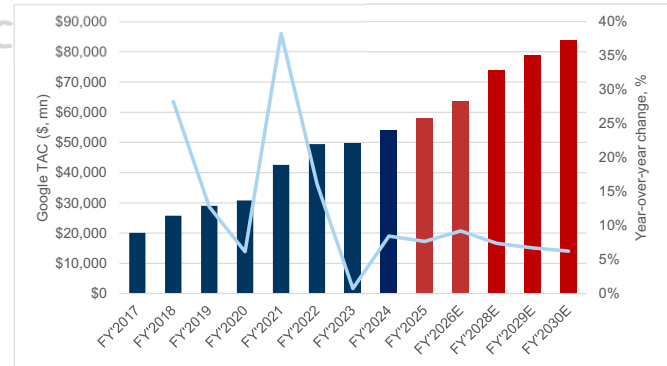
Estimated Apple TAC advertising revenue (\$, bn) and year-over-year change (%)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 33: Apple's TAC advertising revenue, which includes distribution agreements, should be directionally consistent with GOOGL's TAC growth of MSD-HSD% yoy

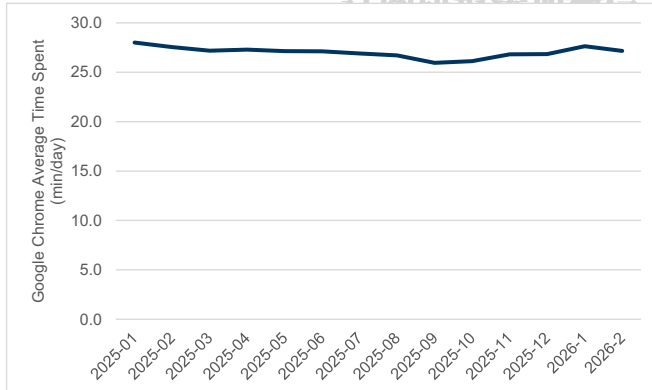
Google TAC (\$, mn) and year-over-year change (%)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 34: Average time spent on Google Chrome with iOS has, in aggregate, stayed relatively stable since the start of 2025

Average time spent on Google Chrome (min/day)

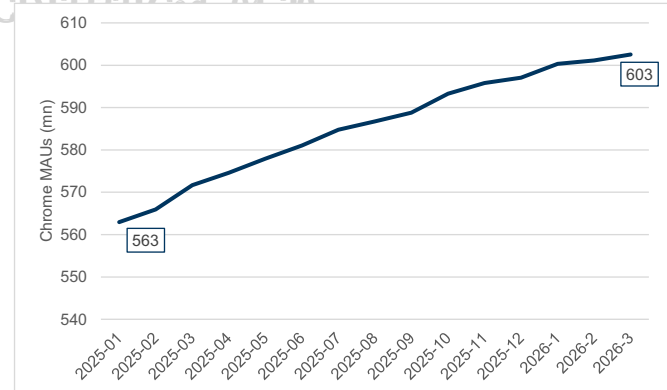


Only includes iOS usage data

Source: Sensor Tower

Exhibit 35: Google Chrome MAUs (iOS) continue to grow over time

Google Chrome MAUs (mn)



Only includes iOS usage data

Source: Sensor Tower

3: Apple TV: Continued content investment to drive long-term subscriber growth

We estimate F2Q26 Apple TV revenue of ~\$2.1 bn (+38% yoy) driven by both continued subscriber growth and August 2025 price increases. First, our paid subscriber estimate reflects a net 4 mn paid adds during the quarter, improving from +1 mn in F1Q26 (GSe) as churn rates related to price increases in August 2025 normalize, and as the company benefits from continued focus on content investments to attract subscribers. In particular, during C1Q26, we estimate Apple TV released ~93 episodes of original series

content, which along with film spend, resulted in content amortization costs of ~\$645 mn. On a forward basis, we expect continued focus on content investment (GSe \$772 mn in C2Q26E), along with potential benefits from price increases at streaming competitor Netflix, should drive greater scale to the platform.

订阅研报添加微信 LCD123321Cad 04-20

Exhibit 36: Based on the Apple TV film and TV slate, we estimate Apple TV had ~\$645 mn of content amortization in C1Q26

Estimated content amortization for Apple TV films and TV series (\$, mn), calendar quarters

	2022	2023	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26
Scripted Drama	163	196	176	42	34	55	27	158	56
Scripted Comedy	74	113	100	31	30	20	20	101	11
Docuseries	94	71	54	19	7	22	19	67	3
Kids & Family	205	87	110	36	20	18	12	86	23
Total	536	467	440	128	91	115	78	412	93

Estimated cost per episode (\$, mn)	Avg	Avg	Avg	1Q25	2Q25	3Q25	4Q25	Avg	1Q26
Scripted Drama	\$9	\$10	\$11	\$12	\$10	\$10	\$10	\$11	\$10
Scripted Comedy	\$5	\$5	\$5	\$6	\$5	\$5	\$5	\$5	\$5
Docuseries	\$1	\$1	\$1	\$1	\$1	\$1	\$1	\$1	\$1
Kids & Family	\$1	\$2	\$1	\$2	\$1	\$1	\$1	\$1	\$1
Avg	\$4	\$6	\$6	\$6	\$6	\$6	\$5	\$6	\$7

Total cost (\$, mn)	Total	Total	Total	1Q25	2Q25	3Q25	4Q25	Total	1Q26
Scripted Drama	\$1,462	\$1,960	\$1,924	\$513	\$340	\$550	\$270	\$1,673	\$560
Scripted Comedy	\$370	\$565	\$500	\$175	\$150	\$100	\$100	\$525	\$55
Docuseries	\$47	\$44	\$54	\$19	\$7	\$22	\$19	\$67	\$3
Kids & Family	\$225	\$146	\$97	\$60	\$28	\$13	\$17	\$118	\$15
Total TV	\$2,104	\$2,715	\$2,575	\$767	\$525	\$685	\$406	\$2,383	\$633
Films	\$610	\$765	\$697	\$125	\$550	\$88	\$132	\$895	\$12
Total TV+Films	\$2,714	\$3,480	\$3,272	\$892	\$1,075	\$772	\$538	\$3,278	\$645

of episodes by quarter based on season premiere timing. We've observed a strategy of Apple TV making 2-3 episodes available at season premiere, with episodes available weekly thereafter, resulting in some episodes falling into a different month/quarter than season premiere

Exhibit 38: Apple TV continues to build out its content slate, which should drive streaming video subscriber growth

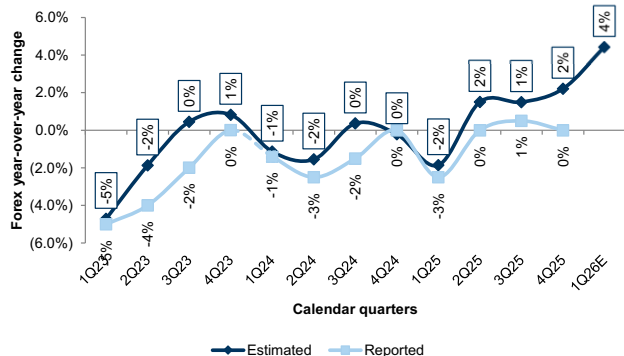
Apple TV television series content slate by quarter

Quarter	Title	Type	Genre	Premiere	Season #	# of Seasons released	Episodes in Season
1Q25							
1Q25	Severance	Scripted Drama	Thriller	1/17/2025	2	2	10
1Q25	Prime Target	Scripted Drama	Thriller	1/22/2025	1	1	8
1Q25	Eva the Owllet	Kids & Family	Animated	1/24/2025	2	2	10
1Q25	Mythic Quest	Scripted Comedy	Comedy	1/29/2025	4	4	10
1Q25	Vietnam: The War that Changed America	Docuseries	War	1/31/2025	1	1	6
1Q25	Love You to Death (a muerte)	Scripted Comedy	Spanish language	2/5/2025	1	1	7
1Q25	Goldie	Kids & Family	Animated	2/14/2025	1	1	13
1Q25	Onside: Major League Soccer	Docuseries	Sports	2/21/2025	1	1	8
1Q25	Surface	Scripted Drama	Mystery	2/21/2025	2	2	8
1Q25	Berlin ER	Scripted drama	Medical drama	2/26/2025	1	1	8
1Q25	Dope Thief	Scripted Drama	Crime thriller	3/14/2025	1	1	8
1Q25	BE@RBRICK	Kids & Family	Musical comedy series	3/21/2025	1	1	13
1Q25	The Studio	Scripted Comedy	Comedy	3/26/2025	1	1	10
1Q25	Side Quest	Scripted Comedy	Comedy	3/26/2025	1	1	4
1Q25	Fight for Glory: 2024 World Series	Docuseries	Sports	3/28/2025	1	1	3
1Q25	Number One of the Call Sheet	Docuseries	Entertainment industry	3/28/2025	1	1	2
2Q25							
2Q25	Your Friends & Neighbors	Scripted Drama	Drama	4/11/2025	1	1	9
2Q25	Government Cheese	Scripted Comedy	Comedy	4/16/2025	1	1	10
2Q25	Jane	Kids & Family	Adventure	4/18/2025	3	3	5
2Q25	WondLa	Kids & Family	Animated	4/25/2025	2	2	7
2Q25	Careme	Scripted Drama	French language	4/30/2025	1	1	8
2Q25	Long Way Home	Docuseries	Travel show	5/9/2025	4	4	7
2Q25	Murderbot	Scripted Comedy	Scripted sci-fi comedic thriller	5/16/2025	1	1	10
2Q25	Stick	Scripted Comedy	Golf comedy series	6/4/2025	1	1	10
2Q25	Not a Box	Kids & Family	Animated	6/13/2025	1	1	8
2Q25	The Buccaneers	Scripted Drama	Drama	6/18/2025	2	2	8
2Q25	Smoke	Scripted Drama	Drama	6/27/2025	1	1	9
3Q25							
3Q25	Foundation	Scripted Drama	Sci-Fi, Drama	7/11/2025	3	3	10
3Q25	The Wild Ones	Docuseries	Nature	7/11/2025	1	1	6
3Q25	Foundation	Scripted Drama	Sci-Fi, Drama	7/11/2025	3	3	10
3Q25	Acapulco	Scripted Comedy	Comedy	7/23/2025	4	4	10
3Q25	Chief of War	Scripted Drama	Historical	8/1/2025	1	1	9
3Q25	Stillwater	Kids & Family	Animated	8/1/2025	4	4	10
3Q25	Platonic	Scripted Comedy	Comedy	8/6/2025	2	2	10
3Q25	Invasion	Scripted Drama	Sci-Fi, Drama	8/22/2025	3	3	10
3Q25	KPOPPED	Docuseries	Reality, music show	8/29/2025	1	1	8
3Q25	Shape Island	Kids & Family	Animated	8/29/2025	2	2	8
3Q25	The Morning Show	Scripted Drama	Drama	9/17/2025	4	4	10
3Q25	The Reluctant Traveler with Eugene Levy	Docuseries	Travel show	9/19/2025	3	3	8
3Q25	Slow Horses	Scripted Drama	Thriller, Drama	9/24/2025	5	5	6
4Q25							
4Q25	The Sisters Grimm	Kids & Family	Animated	10/3/2025	1	1	6
4Q25	The Last Frontier	Scripted Drama	Thriller	10/10/2025	1	1	10
4Q25	Knife Edge: Chasing Michelin Stars	Docuseries	Cooking show	10/10/2025	1	1	8
4Q25	Loot	Scripted Comedy	Comedy	10/15/2025	3	3	10
4Q25	Down Cemetery Road	Scripted Drama	Thriller	10/29/2025	1	1	8
4Q25	Pluribus	Scripted Drama	Drama	11/7/2025	1	1	9
4Q25	Palm Royale	Scripted Comedy	Comedy	11/12/2025	2	2	10
4Q25	Prehistoric Planet: Ice Age	Docuseries	Nature	11/26/2025	1	1	5
4Q25	WondLa	Kids & Family	Animated	11/26/2025	3	3	6
4Q25	Born to be Wild	Docuseries	Nature	12/19/2025	1	1	6
1Q26							
1Q26	Tehran	Scripted Drama	Spy Thriller	1/9/2026	3	3	8
1Q26	Hijack	Scripted Drama	Thriller	1/14/2026	2	2	8
1Q26	Drops of God	Scripted Drama	Drama	1/21/2026	2	2	8
1Q26	Shrinking	Scripted Comedy	Comedy	1/28/2026	3	3	11
1Q26	Yo Gabba GabbaLand!	Kids & Family	Puppets	1/30/2026	2	2	10
1Q26	The Last Thing He Told Me	Scripted Drama	Drama	2/20/2026	2	2	8
1Q26	Monarch	Scripted Drama/Sci-fi	Drama	2/27/2026	2	2	10
1Q26	The Hunt	Scripted Drama	Drama	3/4/2026	1	1	6
1Q26	Twisted Yoga	Docuseries	Docuseries	3/13/2026	1	1	3
1Q26	Imperfect Women	Scripted Drama	Thriller	3/18/2026	1	1	8
1Q26	Wonder Pets: In The City	Kids & Family	Animated	3/20/2026	2	2	13
1Q26	For all Mankind	Scripted Drama	Drama	3/27/2026	5	5	10

Forex, capital allocation, other

Exhibit 39: Foreign exchange should be a tailwind in C1Q26

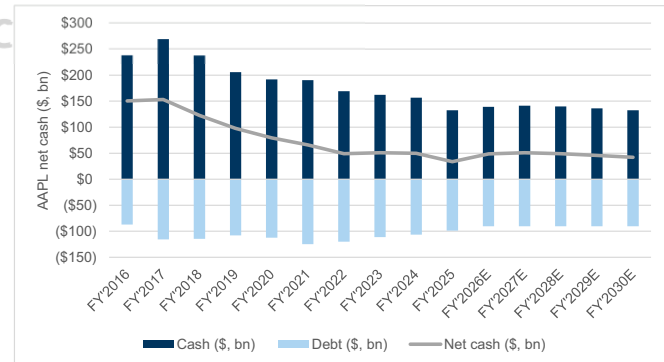
Apple estimated forex impact v. reported forex impact to revenue



Source: FactSet, Company data, Goldman Sachs Global Investment Research

Exhibit 40: AAPL should continue to make progress toward getting to net cash neutral

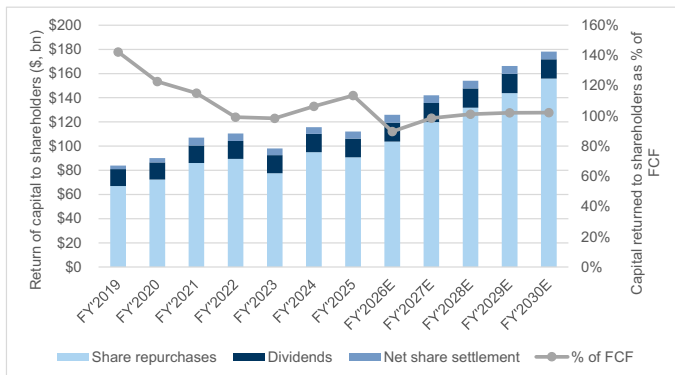
AAPL cash, debt, and net cash (\$, bn)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 41: AAPL returned >\$110 bn of capital back to shareholders in F2025, and we expect this to grow over time as shareholder capital returns scale with growing free cash flow

AAPL share repurchases and dividends (\$, bn) and as a percentage of free cash flow (%)



Stable earnings growth supports valuation premium

Exhibit 42: AAPL trades at ~31X NTM P/E v. 2020-25 average of ~28x
AAPL NTM P/E (consensus)



Priced as of 4/16/2026

Source: FactSet, Data compiled by Goldman Sachs Global Investment Research

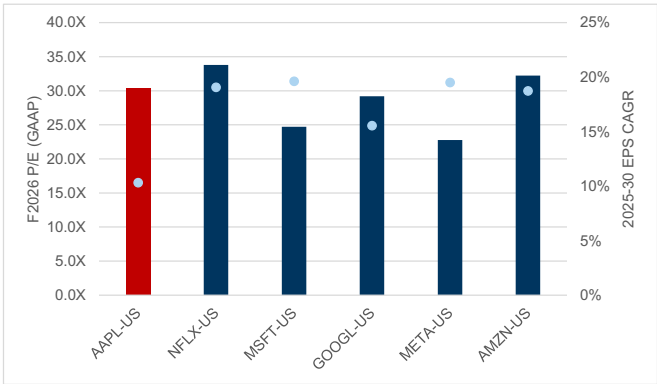
Exhibit 43: On a relative basis, AAPL trades at ~133% the S&P 500 NTM P/E, just below its 2020-25 average of 139%
AAPL NTM P/E relative to the S&P 500 NTM P/E (consensus)



Priced as of 4/16/2026

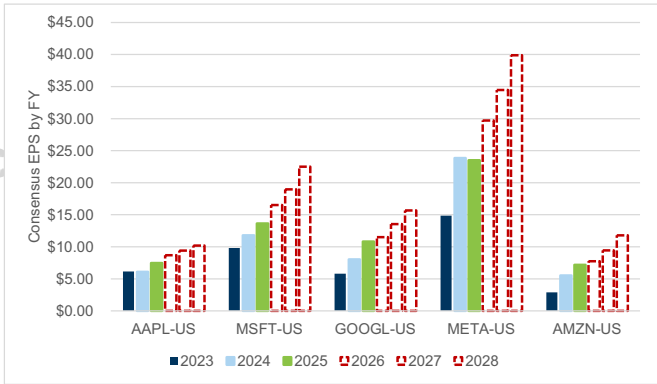
Source: FactSet, Data compiled by Goldman Sachs Global Investment Research

Exhibit 44: APPL trades in line with select large cap tech peers
AAPL F2026 P/E (GAAP) and F2025-30 EPS CAGR (consensus) v. select tech peers



Priced as of 4/16/26. AAPL EPS estimates are GSe.

Exhibit 45: AAPL has relatively stable earnings, in line with large cap tech peers
AAPL consensus EPS v. select tech peers



Priced as of 4/16/26. AAPL is GSe.

Exhibit 46: AAPL v. select comps in large cap tech, consumer brands, and payments

Apple vs select comparable companies

Ticker	Growth metrics					Valuation			
	F26 revenue (\$, mn)	F26-29 revenue CAGR (3y)	F25-28 revenue CAGR (3y)	F26-29 EPS CAGR (3y)	F25-28 EPS CAGR (3y)	F26 P/E	F27 P/E	F26 FCF yield %	F27 FCF yield %
AAPL-US	\$471,298	5%	8%	8%	11%	30.3X	28.0X	2.5%	3.6%
Large cap tech									
NFLX-US	\$51,370	10%	12%	18%	22%	33.8X	27.9X	2.6%	3.2%
MSFT-US	\$327,567	17%	16%	17%	18%	25.5X	22.1X	2.2%	2.9%
GOOGL-US	\$471,510	13%	15%	18%	13%	29.2X	24.8X	0.6%	0.9%
META-US	\$250,406	17%	20%	18%	19%	22.8X	19.6X	0.2%	0.3%
Consumer brands									
PG-US	\$86,622	4%	3%	5%	4%	20.6X	19.7X	4.4%	4.8%
NKE-US	\$46,677		4%		23%	24.6X	19.1X	4.0%	5.2%
DIS-US	\$100,009	5%	5%	11%	11%	15.8X	14.2X	5.3%	6.2%
PEP-US	\$98,537	3%	4%		6%	18.4X	17.3X		
LVMH	\$81,053		4%		9%	21.7X	18.8X	5.2%	5.6%
HSY-US	\$12,245	2%	3%	10%	20%	22.8X	19.3X	4.6%	6.0%
Platforms with competitive moats									
MA-US	\$37,000	12%	12%	15%	16%	26.4X	22.9X	3.4%	4.0%
V-US	\$44,677	11%	11%	13%	13%	24.5X	21.6X	4.3%	4.9%

As of 4/16/26; FactSet consensus estimates except for AAPL, which are GS estimates

Source: FactSet, Data compiled by Goldman Sachs Global Investment Research

订阅研报添加微信 LCD123321Cad 04-20

订阅研报添加微信 LCD123321Cad 04-20

We are **Buy rated** on Apple with a 12-month target price of \$330 (unchanged) reflecting 34X (unchanged) our NTM+1Y EPS.

Key risks include:

Weakening consumer demand for products and services. Apple's products and services are typically sold to consumers and any weakness in the macroeconomic environment could reduce demand for Apple products and services. Apple generated ~50% of its revenue from iPhones (F2025), which is highly dependent on purchases driven by upgrades. Lengthening replacement cycles due to macroeconomic headwinds, improved product durability, or lackluster product innovation could all negatively impact upgrade demand.

Supply chain disruption. Although Apple's suppliers have a global footprint, the majority of final assembly occurs in China. Increased geopolitical tension may result in disruptions to global trade including through tariffs. While Apple has a robust supply chain network, it may rely on one or a few key suppliers for unique or hard-to-manufacture at scale parts.

Intensifying competition. Apple competes across personal devices (e.g., handsets, tablets, PCs, headphones) and a variety of services (e.g., video streaming, app distribution, advertising, music streaming, online fitness, cloud storage, product warranties). Although Apple is the largest company and the most well resourced among its competitors, it is not the market leader in every single business line. For instance, in video streaming, it faces several key competitors that invest more heavily than Apple in content.

Regulatory risks. Apple is subject to intense regulatory scrutiny in all the major markets that it operates in. Regulatory intervention could result in weakening Apple's competitive advantages if it is forced to make its proprietary products or services available for competitors to use.

Capital allocation execution. Apple has a history of M&A, which has no guarantee of success. AAPL also has a history of share repurchases, which could prove to offer lower ROI or come under deeper regulatory scrutiny.

Thesis summary

Apple designs, manufactures, and markets personal technology devices and sells a variety of related services. Its long history and track record of **(1) designing category-defining and innovative products** (e.g., Mac, iPhone, iPad, Apple Watch, AirPods, iPod); **(2) protecting digital privacy**; and **(3) delivering premium services & experiences** have contributed to an unmatched brand strength. Apple's brand loyalty has resulted in a growing installed base of users that provide Apple with visibility into revenue growth by reducing customer churn, lowering customer acquisition costs for new product and services launches (e.g., Apple TV+, Apple Fitness, Apple Watch), and encouraging repeat purchases, such as phone upgrades.

We are Buy-rated on AAPL as we believe that the market's focus on slower product revenue growth masks the strength of the Apple ecosystem and associated revenue

durability & visibility. Apple's installed base growth, secular growth in services, and new product innovation should more than offset cyclical headwinds to product revenue, such as a reduced iPhone unit demand due to a lengthening replacement cycle and reduced consumer demand for the PC & tablet category. Valuation is attractive relative to AAPL's historical multiple - both on an absolute & relative basis - and compared to key tech peers. The majority of gross profit growth over the next 5-years should be driven by Services, which should mark an inflection point in the Services investment narrative and support AAPL's premium multiple. The durability of Apple's installed base and the resulting revenue growth visibility from attaching more Services and Products is what underpins the recurring revenue - or Apple-as-a-Service - opportunity.

Key risks to our view include weakening consumer demand, supply chain disruption, intensifying competition, regulatory risks, and capital allocation execution.

Estimate changes

Our F2026/27/28 EPS estimates are unchanged on average. We decrease our product gross profit estimates by 1% on average to reflect slightly greater headwinds from commodity cost inflation, and update our iPhone, Mad, and iPad estimates to reflect latest C1Q26/C4Q25 industry shipment data.

Exhibit 47: AAPL estimate changes

\$ millions, except per share data

	FY'2026E				FY'2027E				FY'2028E			
	Current	Prior	Δ (\$, mn)	Δ (%)	Current	Prior	Δ (\$, mn)	Δ (%)	Current	Prior	Δ (\$, mn)	Δ (%)
Sales	471,298	469,639	1,659	0%	498,746	493,820	4,926	1%	523,146	517,797	5,349	1%
Cost of sales	242,419	240,248	2,171	1%	255,090	249,904	5,186	2%	264,382	259,087	5,295	2%
Gross profit	228,879	229,391	(512)	0%	243,656	243,916	(260)	0%	258,764	258,709	54	0%
Research & development	45,848	45,848	0	0%	51,548	51,548	0	0%	57,148	57,148	0	0%
Selling, General & Administration	28,918	28,918	0	0%	29,718	29,718	0	0%	30,518	30,518	0	0%
Total operating expenses	74,766	74,766	0	0%	81,266	81,266	0	0%	87,666	87,666	0	0%
Operating income	154,113	154,625	(512)	0%	162,390	162,650	(260)	0%	171,098	171,043	54	0%
Other income (expense), net	404	393	10	3%	463	447	16	4%	512	504	8	2%
Earnings before tax	154,517	155,019	(502)	0%	162,853	163,097	(244)	0%	171,610	171,547	62	0%
Tax	26,681	26,766	(85)	0%	27,685	27,726	(41)	0%	29,174	29,163	11	0%
Net income - GAAP	127,836	128,252	(416)	0%	135,168	135,370	(202)	0%	142,436	142,384	52	0%
Diluted EPS (GAAP)	\$8.70	\$8.73	(\$0.03)	0%	\$9.41	\$9.44	(\$0.03)	0%	\$10.19	\$10.21	(\$0.02)	0%
Diluted shares	14,699	14,693	6	0%	14,362	14,343	19	0%	13,979	13,951	28	0%
EBITDA	167,332	167,848	(516)	0%	177,399	177,674	(275)	0%	187,929	187,889	40	0%
iPhone	245,851	245,278	573	0%	254,323	251,274	3,049	1%	259,323	256,159	3,164	1%
Mac	34,944	34,258	686	2%	36,813	36,085	728	2%	39,055	38,283	773	2%
iPad	29,573	29,398	175	1%	30,558	30,308	250	1%	31,020	31,020	0	0%
Wearables, Home and Accessories	36,510	36,510	0	0%	38,724	38,724	0	0%	40,601	40,601	0	0%
Products	346,878	345,444	1,434	0%	360,419	356,391	4,027	1%	369,999	366,062	3,936	1%
Services	124,419	124,195	225	0%	138,327	137,429	898	1%	153,147	151,734	1,412	1%
Total revenue	471,298	469,639	1,659	0%	498,746	493,820	4,926	1%	523,146	517,797	5,349	1%
Products Gross Profit	134,120	134,804	(683)	-1%	138,200	139,145	(945)	-1%	141,855	142,880	(1,025)	-1%
Services Gross Profit	94,759	94,587	171	0%	105,456	104,770	686	1%	116,908	115,829	1,079	1%
Gross profit	228,879	229,391	(512)	0%	243,656	243,916	(260)	0%	258,764	258,709	54	0%
Products gross margin (%)	38.7%	39.0%		(0.4%)	38.3%	39.0%		(0.7%)	38.3%	39.0%		(0.7%)
Services gross margin (%)	76.2%	76.2%		0.0%	76.2%	76.2%		0.0%	76.3%	76.3%		0.0%
Total Gross Margin (%)	48.6%	48.8%		(0.3%)	48.9%	49.4%		(0.5%)	49.5%	50.0%		(0.5%)

	3'25 -25	Q4'25 Sep-25	Q1'26 Dec-25	Q2'26E Mar-26	Q3'26E Jun-26	Q4'26E Sep-26	Q1'27E Dec-26	Q2'27E Mar-27	Q3'27E Jun-27	Q4'27E Sep-27	Q1'28E Dec-27	Q2'28E Mar-28	Q3'28E Jun-28	Q4'28E Sep-28		FY'2024	FY'2025	FY'2026E	FY'2027E	FY'2028E
	.036	102,466	143,756	110,337	103,112	114,093	146,799	118,846	113,250	119,851	152,842	125,858	119,519	124,926		391,035	416,161	471,298	498,746	523,146
	.318	54,125	74,525	56,267	52,783	58,844	75,207	60,998	57,839	61,046	77,504	63,890	60,256	62,732		210,352	220,960	242,419	255,090	264,382
	.718	48,341	69,231	54,070	50,329	55,249	71,592	57,848	55,411	58,805	75,338	61,968	59,263	62,194		180,683	195,201	228,879	243,656	258,764
	.866	8,866	10,887	11,387	11,687	11,887	12,387	12,787	13,087	13,287	13,787	14,187	14,487	14,687		31,370	34,550	45,848	51,548	57,148
	.650	7,045	7,492	7,142	7,092	7,192	7,692	7,342	7,292	7,392	7,892	7,542	7,492	7,592		26,097	27,601	28,918	29,718	30,518
	.516	15,914	18,379	18,528	18,779	19,078	20,078	20,129	20,379	20,678	21,678	21,729	21,978	22,279		57,467	62,151	74,766	81,266	87,666
	.202	32,427	50,852	35,541	31,550	36,170	51,513	37,718	35,032	38,126	53,658	40,238	37,284	39,915		123,216	133,050	154,113	162,390	171,098
	-171	377	150	100	102	52	58	136	159	110	75	144	175	118		269	321	404	463	512
	.031	32,804	51,002	35,641	31,652	36,222	51,572	37,854	35,191	38,236	53,734	40,383	37,459	40,034		123	19	154,517	162,853	171,610
	.597	5,338	8,905	6,237	5,381	6,158	8,767	6,435	5,982	6,500	9,135	6,865	6,368	6,806		19		26,681	27,685	29,174
	4%	16.3%	17.5%	17.5%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%		1%	%	17.3%	17.0%	17.0%
	.434	27,466	42,097	29,404	26,271	30,064	42,805	31,419	29,208	31,736	44,600	33,518	31,091	33,228		103	10	127,836	135,168	142,436
	0	0	0	0	0	0	0	0	0	0	0	0	0	0		10	0	0	0	0
	.434	27,466	42,097	29,404	26,271	30,064	42,805	31,419	29,208	31,736	44,600	33,518	31,091	33,228		93	10	127,836	135,168	142,436
	.57	\$1.85	\$2.85	\$2.00	\$1.80	\$2.07	\$2.96	\$2.19	\$2.05	\$2.24	\$3.17	\$2.40	\$2.24	\$2.41		\$	18	\$8.73	\$9.45	\$10.23
	.57	\$1.85	\$2.84	\$2.00	\$1.79	\$2.06	\$2.95	\$2.18	\$2.04	\$2.23	\$3.16	\$2.39	\$2.23	\$2.40		\$	16	\$8.70	\$9.41	\$10.19
	.57	\$1.85	\$2.85	\$2.00	\$1.80	\$2.07	\$2.96	\$2.19	\$2.05	\$2.24	\$3.17	\$2.40	\$2.24	\$2.41		\$	19	\$8.73	\$9.45	\$10.23
	.57	\$1.85	\$2.84	\$2.00	\$1.79	\$2.06	\$2.95	\$2.18	\$2.04	\$2.23	\$3.16	\$2.39	\$2.23	\$2.40		\$	16	\$8.70	\$9.41	\$10.19
	.903	14,815	14,748	14,676	14,600	14,524	14,441	14,345	14,252	14,162	14,069	13,965	13,865	13,769		15	48	14,637	14,300	13,917
	.948	14,864	14,810	14,738	14,662	14,586	14,503	14,407	14,314	14,224	14,131	14,028	13,928	13,831		15	05	14,699	14,362	13,979
	.26	\$0.26	\$0.26	\$0.26	\$0.27	\$0.27	\$0.27	\$0.27	\$0.28	\$0.28	\$0.28	\$0.28	\$0.29	\$0.29		\$	12	\$1.06	\$1.10	\$1.14
	3'25 -25	Q4'25 Sep-25	Q1'26 Dec-25	Q2'26E Mar-26	Q3'26E Jun-26	Q4'26E Sep-26	Q1'27E Dec-26	Q2'27E Mar-27	Q3'27E Jun-27	Q4'27E Sep-27	Q1'28E Dec-27	Q2'28E Mar-28	Q3'28E Jun-28	Q4'28E Sep-28		FY'	25	FY'2026E	FY'2027E	FY'2028E
	10%	8%	16%	16%	10%	11%	2%	8%	10%	5%	4%	6%	6%	4%		5%	13%	13%	6%	5%
	9%	6%	13%	11%	5%	9%	1%	8%	10%	4%	3%	5%	4%	3%		5%	10%	5%	4%	4%
	10%	10%	19%	21%	15%	14%	3%	7%	10%	6%	5%	7%	7%	6%		5%	17%	6%	6%	6%
	11%	14%	32%	33%	32%	34%	14%	12%	12%	12%	11%	11%	11%	11%		1%	33%	12%	11%	11%
	5%	8%	4%	6%	7%	2%	3%	3%	3%	3%	3%	3%	3%	3%		5%	5%	3%	3%	3%
	8%	11%	19%	21%	21%	20%	9%	9%	9%	8%	8%	8%	8%	8%		3%	20%	9%	8%	8%
	11%	10%	19%	20%	12%	12%	1%	6%	11%	5%	4%	7%	6%	5%		3%	16%	5%	5%	5%
	-1%	7%	4%	22%	18%	9%	10%	16%	15%	14%	13%	12%	12%	11%		2%	13%	14%	12%	12%
	10%	9%	18%	20%	12%	11%	2%	7%	11%	6%	5%	7%	7%	5%		3%	16%	6%	6%	6%
	10%	11%	20%	22%	13%	10%	1%	6%	11%	6%	4%	7%	6%	5%		3%	16%	5%	5%	5%
	9%	10%	16%	19%	12%	9%	2%	7%	11%	6%	4%	7%	6%	5%		3%	14%	6%	5%	5%
	9%	86%	16%	19%	12%	9%	2%	7%	11%	6%	4%	7%	6%	5%		3%	14%	6%	5%	5%
	2%	13%	18%	21%	14%	12%	4%	9%	14%	8%	7%	10%	9%	8%		1%	17%	8%	8%	8%
	12%	13%	19%	21%	14%	12%	4%	9%	14%	8%	7%	10%	9%	8%		1%	17%	8%	8%	8%
	2%	91%	18%	21%	14%	12%	4%	9%	14%	8%	7%	10%	9%	8%		3%	17%	8%	8%	8%
	12%	91%	19%	21%	14%	12%	4%	9%	14%	8%	7%	10%	9%	8%		3%	17%	8%	8%	8%
	-3%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-3%	-3%	-3%	-3%		1%	-2%	-2%	-3%	-3%
	-3%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-3%	-3%	-3%	-3%		1%	-2%	-2%	-3%	-3%
	3'25 -25	Q4'25 Sep-25	Q1'26 Dec-25	Q2'26E Mar-26	Q3'26E Jun-26	Q4'26E Sep-26	Q1'27E Dec-26	Q2'27E Mar-27	Q3'27E Jun-27	Q4'27E Sep-27	Q1'28E Dec-27	Q2'28E Mar-28	Q3'28E Jun-28	Q4'28E Sep-28		FY'	25	FY'2026E	FY'2027E	FY'2028E
	0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%		100%	100.0%	100.0%	100.0%	100.0%
	5%	52.8%	51.8%	51.0%	51.2%	51.6%	51.2%	51.3%	51.1%	50.9%	50.7%	50.8%	50.4%	50.2%		53%	51.4%	51.1%	50.5%	50.5%
	5%	47.2%	48.2%	49.0%	48.8%	48.4%	48.8%	48.7%	48.9%	49.1%	49.3%	49.2%	49.6%	49.8%		46	%	48.6%	48.9%	49.5%
	4%	8.7%	7.6%	10.3%	11.3%	10.4%	8.4%	10.8%	11.6%	11.1%	9.0%	11.3%	12.1%	11.8%		8	%	9.7%	10.3%	10.9%
	1%	6.9%	5.2%	6.5%	6.9%	6.3%	5.2%	6.2%	6.4%	6.2%	5.2%	6.0%	6.3%	6.1%		14	%	6.1%	6.0%	5.8%
	5%	15.5%	12.8%	16.8%	18.2%	16.7%	13.7%	16.9%	18.0%	17.3%	14.2%	17.3%	18.4%	17.8%		14	%	15.9%	16.3%	16.8%
	.0%	31.6%	35.4%	32.2%	30.6%	31.7%	35.1%	31.7%	30.9%	31.8%	35.1%	32.0%	31.2%	32.0%		1	%	32.7%	32.6%	32.7%
	0%	3.1%	2.2%	2.9%	3.2%	3.0%	2.4%	3.1%	3.4%	3.3%	2.6%	3.3%	3.6%	3.5%		2	%	2.8%	3.0%	3.2%
	0%	34.7%	37.6%	35.1%	33.8%	34.7%	37.5%	34.9%	34.3%	35.1%	37.7%	35.3%	34.8%	35.4%		34	%	35.5%	35.6%	35.9%
	8%	32.0%	35.5%	32.3%	30.7%	31.7%	35.1%	31.9%	31.1%	31.9%	35.2%	32.1%	31.3%	32.0%		31	%	32.8%	32.7%	32.8%
	.9%	26.8%	29.3%	26.6%	25.5%	26.4%	29.2%	26.4%	25.8%	26.5%	29.2%	26.6%	26.0%	26.6%		26	%	27.1%	27.1%	27.2%
	.9%	26.8%	29.3%	26.6%	25.5%	26.4%	29.2%	26.4%	25.8%	26.5%	29.2%	26.6%	26.0%	26.6%		24	%	27.1%	27.1%	27.2%

ch